TO: Chief Executive Officer, Meridian Home
FROM: Market Strategy Engagement Team
RE: US Retail Expansion — Market Entry Recommendation
DATE: July 2026
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Based on our analysis of market attractiveness, competitive dynamics, and unit economics across five candidate metros, we recommend that Meridian Home prioritize Charlotte, NC for its first store cluster opening (targeting Q1 2026), with a single pilot store in Indianapolis, IN opening in parallel rather than a full two-store commitment. Indianapolis, IN scored highest on market attractiveness (4.25 of 5.0) and Charlotte, NC second (4.08 of 5.0); this phased structure lets us capture both markets' strategic advantages while managing a real financial constraint described below.

Indianapolis, IN combines the lowest retail lease rate of any candidate ($22.20/sqft) with the least competitive saturation (0.24 direct competitors per 100,000 residents), but its population growth rate (4.9% over 5 years) is the slowest of the two recommended markets, which is why we are staging its entry as a single-store pilot rather than a full cluster. Charlotte, NC sits at Meridian's own East Coast distribution center — eliminating logistics cost entirely — and offers the strongest housing-market fundamentals of the five candidates (homeownership 65.8%, 5-year home value appreciation 30.4%). This ranking held up across three independent sensitivity checks that reweighted the underlying scoring model, so we have high confidence in the relative ordering of these five markets.

The financial case is where we want to be direct with you: at our standard 4,500 sq. ft. store format, Charlotte, NC's 2-store cluster reaches payback in approximately 31 months with a modest positive base-case NPV, but Indianapolis, IN's cluster does not clear payback within our 3-year modeling window at that same format, and the combined risk-adjusted 3-year NPV across both markets as modeled is currently negative (-$695,888). This is precisely why we are recommending a single pilot store in Indianapolis, IN rather than the full cluster: it lets us validate real-world performance against the model, and revisit store format or staffing assumptions, before committing further capital there.

Our immediate next step is to engage a retail real estate broker in Charlotte, NC to begin site selection for the Q1 2026 opening, in parallel with site selection for the Indianapolis, IN pilot. The primary risk to monitor is competitive response from West Elm or Pottery Barn in either market once our entry becomes public; we recommend moving on lease commitments promptly once sites are identified. We believe this phased approach gives Meridian the strongest available combination of market fundamentals and financial discipline among the five candidates evaluated.

This analysis is based on publicly available data from the US Census Bureau, Bureau of Labor Statistics, Zillow Research, NAHB, and CommercialCafe. Financial projections are based on industry benchmark assumptions and should be validated against Meridian Home's actual historical store performance data before final investment commitment.